7. Critically explain the three key things that Pigou dealt with in analyzing social welfare.

Answer: Arthur Cecil Pigou, the "father of welfare economics," structured his analysis in his seminal work, *The Economics of Welfare* (1932), around three core pillars.

1. The Definition of Economic Welfare

Pigou established a clear meaning for welfare by distinguishing between individual and social levels:

- **Individual vs. Social Welfare:** He defined individual welfare as the sum of satisfactions from goods and services, while social welfare is the total summation of all individual welfares in a society.
- **The "Measuring Rod of Money":** Because general welfare is too complex to analyze, Pigou narrowed his focus to **economic welfare**. This is defined as the part of social welfare that can be related, directly or indirectly, to the "measuring rod of money".
- **Critical Perspective:** Pigou regarded economic welfare and national income as coordinate. However, critics argue this classification is too superficial to serve as a comprehensive basis for welfare analysis.

2. Conditions for Welfare Maximization

Pigou identified two primary conditions that must be met to maximize social welfare:

- **National Income Growth:** An increase in national income represents an increase in welfare, provided tastes and income distribution remain constant.
- **Income Equalization:** Pigou argued that because money is subject to diminishing marginal utility, transferring income from the rich to the poor increases total welfare by satisfying the more intense needs of the poor. He concluded that economic equality is what maximizes welfare.
- **Critical Perspective:** This "social optimum" (or "ideal output") occurs when marginal social products are equal across all industries. Critics contend that the assumption of "equal capacity for satisfaction" is scientifically untenable and represents a broad value judgment rather than an objective fact.

3. Policy Recommendations for Increasing Welfare

Pigou provided a rationale for state intervention to improve social well-being:

- **Divergence of Private and Social Net Products:** He distinguished between the **private net product** (proceeds added to the investor's earnings) and the **social net product** (the aggregate contribution to the national dividend).
- **Taxes and Subsidies:** When the social net product is greater than the private product (e.g., technical training of workers), the state should provide a **subsidy**. Conversely, when the private product is greater and causes damage to society (e.g., factory smoke spoiling a neighborhood's atmosphere), the state should impose a **tax**.
- **Critical Perspective:** This approach has been criticized for lacking rigour and operational content. Furthermore, in the real world, structural failures like imperfect knowledge and immobility often "defy correction through social action".